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REGIONAL MEMORANDUM CIRCULAR NO. 2024-012
16 December 2024

**TO : ALL PROVINCIAL, CITY AND MUNICIPAL TREASURERS
AND ASSESSORS; AND ALL OTHERS CONCERNED**

**SUBJECT : Department of Finance Order No. 054.2024 dated June 10,
2024**

For the information and guidance of all concerned, attached hereto is the subject BLGF Memorandum Circular No. 021.2024, dated October 10, 2024, and Department of Finance Order No. 054.2024 dated June 10, 2024, "Instituting the Information and Communications Technology (ICT) Standard Policy and Guidelines on the Adoption of Electronic Transactions for Local Government Units Treasury and Assessment Operations, and BLGF Operations and Services."

Accordingly, all Provincial Treasurers and Assessors are hereby instructed to disseminate the subject BLGF Memorandum Circular No. 021.2024 and Department of Finance Order No. 054.2024, to the government units within their respective jurisdiction.

For strict compliance.


ALEXANDER L. MIGUEL
Acting Regional Director



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BLGF MEMORANDUM CIRCULAR NO. 021.2024
October 10, 2024

TO : **BLGF Central and Regional Directors; Provincial, City and Municipal Treasurers and Assessors; and All Others Concerned**

SUBJECT : **Department of Finance Order No. 054.2024 dated June 10, 2024.**

For the information and guidance of all concerned, attached hereto is the subject Department of Finance Order No. 054.2024 dated June 10, 2024, "Instituting the Information and Communications Technology (ICT) Standard Policy and Guidelines on the Adoption of Electronic Transactions for Local Government Units Treasury and Assessment Operations, and BLGF Operations and Services."

Accordingly, all BLGF Regional Directors are hereby instructed to disseminate the subject Department of Finance Order No. 054.2024, to the government units within their respective jurisdiction.




CONSOLACION Q. AGCAOILI
Executive Director



DEPARTMENT ORDER NO. 054.2024

Instituting the Information and Communications Technology (ICT) Standard Policy and Guidelines on the Adoption of Electronic Transactions for Local Government Units Treasury and Assessment Operations, and BLGF Operations and Services

Section 1: Legal and Policy Frameworks

- 1.1.** Section 4 of Executive Order (EO) No. 127 s. 1987, as amended by Sec. 2, Chapter 1, Title II, Book IV of EO No. 292 s. 1987, otherwise known as the Administrative Code of 1987, provides that the Department of Finance (DOF) shall be responsible for the supervision of the revenue operations of all local government units (LGUs), with the objective of making these entities less dependent on funding from the national government.
- 1.2.** Section 43 of E.O. No. 127 s. 1987 provides that the Bureau of Local Government Finance (BLGF) shall (a) assist in the formulation and implementation of policies on local government revenue administration and fund management; (b) exercise administrative and technical supervision and coordination over the treasury and assessment operations of local governments; and (c) develop and promote plans and programs for the improvement of resource management systems, collection enforcement mechanisms, and credit utilization schemes at the local levels, among others.
- 1.3.** Section 470 of Republic Act (R.A.) No. 7160, otherwise known as the Local Government Code (LGC), provides that the local treasurer shall (1) take custody and exercise proper management of the funds of the LGU concerned; and (2) maintain and update the tax information system of the LGU, among others.
- 1.4.** Section 472 of R.A. No. 7160 provides that the local assessor shall: (1) establish a systemic method of real property assessment; (2) install and maintain a real property identification and accounting system; and (3) prepare, install, and maintain a system of tax mapping, showing graphically all properties subject to assessment and gather all data concerning the same, among others.
- 1.5.** Section 2 of R.A. No. 8792, otherwise known as the Electronic Commerce Act of 2000 (E-Commerce Act), provides that the State has the vital role of information and communications technology (ICT) in nation-building; the need to create an information-friendly environment which supports and ensures the availability, diversity and affordability of ICT products and services; and its obligation to facilitate the transfer and promotion of technology; to ensure network security, connectivity and neutrality of technology for the national benefit, among others.

- 1.6. Section 2 of R.A. No. 11127, otherwise known as the National Payment Systems Act (NPSA), provides that the State recognizes that payment systems are crucial parts of the financial infrastructure of the country and it is essential that they function safely and efficiently for the stability and effectiveness of the monetary and financial system.
- 1.7. Section 27 of R.A. No. 8792 provides that all departments, bureaus, offices and agencies of the government, as well as all government-owned and -controlled corporations (GOCCs) shall accept the creation, filing or retention of documents in the form of electronic data messages or electronic documents; issue permits, licenses, or approval in the form of electronic data messages or electronic documents; and require and/or accept payments, and issue receipts acknowledging such payments, through systems using electronic data messages or electronic documents, among others.
- 1.8. Section 38 of the Implementing Rules and Regulations (IRR) of R.A. No. 8792 provides the following principles governing the use of electronic data messages, electronic documents, and electronic signatures, which shall be mandatory upon all departments, bureaus, offices and agencies, as well as GOCCs: (1) technology neutrality; (2) interoperability; (3) elimination of red tape; (4) security measures; and (5) auditability.
- 1.9. The DOF, through the BLGF, aims to ensure compliance of the LGUs with the provisions of existing laws and regulations governing ICT and the adoption of electronic transactions in their local treasury and assessment operations.

Section 2. Goal and Objectives. It is the goal of this Department Order (DO) to establish and institutionalize the policy and guidelines for ICT and the adoption of electronic transactions for the local treasury and assessment operations of LGUs and BLGF operations and services. To this end, the DOF, through the BLGF, endeavors to:

- 2.1. Provide clear guidelines to LGUs and local treasurers and assessors on the adoption of ICT systems dedicated for local treasury and assessment operations, particularly on:
 - 2.1.1. ICT System compliance;
 - 2.1.2. Guidelines for the adoption of Electronic Payment and Collection Systems (EPCS); and
 - 2.1.3. Guidelines for the issuance of Electronic Official Receipts (eORs);
- 2.2. Integrate, simplify, and harmonize revenue operations, financial management processes and information systems, which shall cover the treasury and assessment operations of LGUs in an efficient manner, and shall apply uniformly to all implementing agencies; and
- 2.3. Set clear standards to ensure that the ICT systems and electronic transactions of the local treasury and assessment operations of LGUs, as well as the BLGF operations and services, are compliant with the principles and requisites set forth under existing laws, rules, and regulations.

Section 3. Scope and Coverage. This DO shall govern the ICT and electronic transactions of all local treasury and assessment offices of LGUs, and the day-to-day operations and services rendered by the BLGF to the LGUs.

Section 4. Definition of Terms. For purposes of this DO, the following terms are defined accordingly:

- 4.1 Application Programming Interface (API)** – refers to a set of rules or protocols that enables software applications to communicate with each other to exchange data, features, and functionality.¹
- 4.2 Authorized Government Depository Banks (AGDBs)** – refer to banks where National Government Agencies (NGAs)/GOCCs/Government Financial Institutions (GFIs)/Government Instrumentalities with Corporate Powers (GICPs)/Government Corporate Entities (GCEs) and LGUs are allowed by law to deposit government funds and maintain depository accounts, or by way of exception, a bank allowed by the DOF and the Monetary Board to hold government deposits subject to prescribed rules and regulations.²
- 4.3 Backend System** – refers to an application system of an Electronic Payment Collection System (EPCS) and underlying infrastructure which stores, retrieves, manages, abstracts, transforms, and otherwise processes data and information.
- 4.4 Certificate of Registration (COR)** – refers to the certificate issued by the Bangko Sentral ng Pilipinas (BSP) to the Operator of Payment System (OPS) provided that the submitted documents satisfy the regulatory requirements.³
- 4.5 Clearing** – refers to the transmitting, reconciling, and in some cases, confirming payment orders before settlement, and the establishment of final payment obligations for settlement.⁴
- 4.6 Demand Deposit Account (DDA)** – refers to the regular deposit account of a bank/quasi-bank with the BSP.
- 4.7 Direct Clearing Participant** – refers to a financial institution that is: (a) duly licensed by the BSP and is authorized to provide electronic financial and payment services; (b) engaged in the holding of funds of customers in the form of accounts (bank account or electronic money account); (c) clears transactions through an Actual Clearing House

¹ <https://www.ibm.com/topics/api>

² DOF Department Circular No. 002-2022 ("Revised Guidelines on Authorized Government Depository Banks")

³ Pursuant to BSP Circular No. 1049, Series of 2019 (Rules and Regulations on the Registration of Operators of Payment Systems)

⁴ Section 4 (b), RA 11127

(ACH) and is the participant ultimately responsible for obligations generated from cleared transactions; and (d) has a DDA with the BSP and a Philippine Payment and Settlement Systems (PhilPaSS) member, or is sponsored into settlement by a qualified sponsor which is a member of PhilPaSS and maintains a DDA with the BSP, to settle its clearing obligations.⁵

- 4.8 Electronic Collection (e-Collection)** – refers to a method or manner wherein revenue, fees, assessments, or obligations due to the government entity is being collected using a mechanical device, electronic device, or computer-based system. The term refers to an alternative way of collection where no actual money, check, or any physical note is handed through the hands of the government entity's collecting officer. This includes the use of an intermediary in performing the collection function.
- 4.9 Electronic Instruments or Devices** – shall mean cash cards, e-wallets accessible via mobile phones or other access device, stored value cards, and other similar products.⁶
- 4.10 Electronic Money Issuer (EMI)** – shall be classified as follows: (a) Banks (hereinafter called EMI-Bank); (b) non-banking financial institution (NBFI) supervised by the BSP (hereinafter called EMI-NBFI); and (c) non-bank institutions registered with the BSP as a monetary transfer agent under Section 4511N of the Manual of Regulations for Non-Bank Financial Institutions (MORNBFI), issued by the BSP (hereinafter called as EMI-Others).⁷
- 4.11 Electronic Official Receipt (eOR)** – refers to a proof of payment generated/issued through an Electronic Payment and Collection System (EPCS) with unique or sequential reference numbers that can be validated using the same system. More specifically, the eOR refers to the evidence of payment for collections received by the agency from clients generated through the agency's electronic collection system.⁸
- 4.12 Electronic Payment (e-Payment)** – refers to the transfer of money or equivalent electronic representations of legal tender, for purposes of payment, solely through electronic means as opposed to the use of cash or physical notes to accomplish the same.⁹

⁵ 803 National Retail Payment System (NRPS), Definition of Terms (g), MORB

⁶ BSP Circular No.702 dated December 15, 2010, Issuance and Operations of Electronic Money

⁷ Id.

⁸ Section 2.5 of COA Circular No. 2013-007 dated September 18, 2013 (Guidelines for the Use of Electronic Official Receipts (eORs) to acknowledge Collection of Income and Other Receipts of Government

⁹ COA Circular No. 2021-014 dated December 22, 2021 (Guidelines on the use of Electronic Collection (e-Collection) and Electronic Payment (e-Payment) for Government Transactions

- 4.13 Electronic Payment and Collection System (EPCS)** – refers to a system that accepts and processes Electronic Payments, validates the availability of funds, and debits the client's accounts in favor of a government entity.¹⁰
- 4.14 E-money** – shall mean monetary value as represented by a claim on its issuer, that is (a) electronically stored in an instrument or device; (b) issued against receipt of funds of an amount not lesser in value than the monetary value issued; (c) accepted as a means of payment by persons or entities other than the issuer; (d) withdrawable in cash or cash equivalent; and (e) issued in accordance with Section 702 of the Manual of Regulations of Banks (MORB).
- 4.15 End-user** – refers to any person who originally initiates the instruction to pay or the ultimate receiver of funds in a payment system.¹¹
- 4.16 Information and Communication System (ICT)** – refers to a system for generating, sending, receiving, storing, or otherwise processing electronic data messages or electronic documents and includes the computer system or other similar device by or in which data is recorded or stored and any procedures related to the recording or storage of electronic data message or electronic document.¹²
- 4.17 Monetary Board** – refers to the Board of BSP composed of seven (7) members appointed by the President of the Philippines for a term of six (6) years. The Board exercises the BSP's powers and functions.¹³
- 4.18 Operator** – refers to any person who provides clearing or settlement services in a payment system, or defines, prescribes, designs, controls, or maintains the operational framework for the system.¹⁴
- 4.19 Operator of Payment Systems (OPS)** – refers to a person that performs any of the following functions: (a) maintains the platform that enables payments or fund transfers, regardless of whether the source and destination accounts are maintained with the same or different institutions; (b) operates the system or network that enables payments or fund transfers to be made using a payment instrument; (c) provides a system that processes payments on behalf of any person or the government; and (d) all activities similar to the foregoing as may be determined by the BSP Monetary Board.¹⁵

¹⁰ DTI-DOF JDAO No. 02, series of 2006 (Guidelines Implementing R.A. No. 8792 on Electronic Payment and Collection System (EPCS) in Government)

¹¹ Section 4 (e), RA 11127

¹² Section 6 (f), IRR of RA 8792

¹³ Section 6, RA 7653

¹⁴ Section 4 (l), RA 11127

¹⁵ Pursuant to BSP Circular No. 1049 Series of 2019. Retrieved from <https://www.bsp.gov.ph/Regulations/Issuances/2019/c1049.pdf>

- 4.20 Ordinance** – refers to an enactment of the local government council or Sanggunian.
- 4.21 Participant** – the operator, issuer, service provider, or any person involved in the payment system other than the end-user.¹⁶
- 4.22 Payment Instrument** – refers to any instrument, whether tangible or intangible, that enables a person to transfer funds.¹⁷
- 4.23 Payment System** – refers to the set of payment instruments, processes, procedures, and participants that ensures the circulation of money or movement of funds.¹⁸

Section 5. Minimum Standards for ICT Systems for Local Treasury, Local Assessment, and BLGF Operations and Services. In general terms, the evaluation of the ICT systems for LGUs' treasury and assessment operations, and BLGF operations and services shall be guided by the principles under Section 38 of the IRR of R.A. No. 8792:

- 5.1 Technology Neutrality.** All solutions implemented shall neither favor a particular technology over another nor discriminate against or in favor of vendors of technology.
- 5.2 Interoperability.** All implementation of technological solutions shall ensure that the systems can connect and communicate with other entities forming part of the government network.
- 5.3 Elimination of Red Tape.** Government processes shall be reexamined and if appropriate, simplified or reengineered to maximize the functionality of technology and to eliminate unnecessary delays in the delivery of governmental services.
- 5.4 Security Measures.** Government shall implement appropriate security measures to guard against unauthorized access, unlawful disclosure of information, and to ensure the integrity of stored information.
- 5.5 Auditability.** All systems installed shall provide an audit trail.

Section 6. Minimum Requirements for Adoption of Electronic Payment and Collection Systems (EPCS) for Local Treasury Operations.

- 6.1 Standard Requirement for Operator of Payment Systems (intended as Electronic Payment and Collection System).** All LGUs engaging with or about to engage with OPS shall require the submission of a COR issued by the BSP pursuant to BSP Circular No. 1049, s. of 2019, as defined under R.A. No. 11127; Provided, That the said certification shall also apply to LGUs engaging with banks and electronic money issuers (EMIs) that

are currently operating, or will later operate, as an OPS as defined under R.A. No. 11127.

- 6.2 Standard Requirement for the Operation of EPCS.** The Local Treasurer shall attest and confirm that the EPCS integrated to inter-operate with its Local Treasury Operations System, complies with the minimum requirements set forth in the Joint Department Administrative Order (JDAO) No. 02, s. of 2006, of the Department of Trade and Industry (DTI) and DOF¹⁹, particularly on the Technical and Legal and Documentary Requirements governing the operation of EPCS, Data Retention Protocol, and Confidentiality, among others.
- 6.3 Compliance with Government Accounting Standards.** EPCS must comply with the existing rules, regulations, and standards set forth by the Commission on Audit (COA).

Section 7. Guidelines for Setting Up and Evaluating eORS for Local Treasury and Local Assessment Operations.

- 7.1.** The eORs shall have the following minimum data content, pursuant to Section 3.3 of COA Circular No. 2013-007:²⁰
- 7.1.1.** Name of the agency issuing the receipt (Department/Agency/Regional Office/Operating or Field Unit);
 - 7.1.2.** Location and Location Code (place where the collection is made and its assigned code);
 - 7.1.3.** Name of payor (person/entity making the payment);
 - 7.1.4.** Date and time of receipt (date and time of the collection and issuance of eOR);
 - 7.1.5.** Nature of collection (such as income tax, business tax, fees, charges, assessments, licenses, etc.);
 - 7.1.6.** Amount received, detailed as to nature of collection coded as to their subsidiary ledger revenue classification;
 - 7.1.7.** eOR Number (a unique and sequential number generated by the system for every eOR issued);
 - 7.1.8.** Transaction Number (number generated for every transaction accepted by the system which does not necessarily pertain to the generated eOR. It may include cancellation of eOR, inquiry, etc.);
 - 7.1.9.** Mode of payment (credit card/electronic fund transfer/ATM/G-Cash, etc.); and
 - 7.1.10.** Order of Payment Slip Number or Assessment Number.
- 7.2.** The BLGF shall issue an eOR numbering system format to LGUs to strengthen the financial controls and accountability of LGUs in the issuance of eORs. The LGU shall use the eOR numbering system assigned by the BLGF.

Section 8. Subsequent Issuances. For purposes of this overarching ICT policy, the following guidelines shall be subsequently issued by the BLGF:

- 8.1** Guidelines in the evaluation of LGU ICT systems;
- 8.2** Guidelines on the adoption of EPCS and eORs for LGUs;
- 8.3** Guidelines in the implementation of BLGF office systems;
- 8.4** Electronic Statement of Receipts and Expenditures/LGU Integrated Financial Tool System (eSRE/LIFT System);
- 8.5** Real Property Information Management System (RPIS);
- 8.6** Computer Aided Mass Appraisal (CAMA) with Geographic Information System (GIS); and
- 8.7** Other issuances as may be necessary.

Section 9. Responsibilities of Local Treasurers and Local Assessors. The local treasurers and local assessors shall:

- 9.1.** Ensure that the Local Treasury/Assessment ICT System(s) has complied with Sections 5, 6, 7, and 8 of this DO;
- 9.2.** Ensure that the LGU has entered into a Contract or Service Agreement with the Systems Provider with stipulations on the functions and features of the System's Application including but not limited to data ownership, control processes, and procedures that assure adequate integrity, security and confidentiality of data messages, documents or records, and support services, among others;
- 9.3.** Ensure that the LGU integrates EPCS in the creation and development of their LGU ICT online system as part of its revenue generation and fiscal management programs; and
- 9.4.** Perform such other functions as may be prescribed by the BLGF Central and Regional ICT Evaluation Team and other competent authorities.

Section 10. Responsibilities of the BLGF. The BLGF shall:

- 10.1** Establish the BLGF Central and Regional ICT Evaluation Teams, to be composed of the BLGF Central Office Director for LGU Operations Service as the Chairperson for the BLGF Central, and the BLGF Regional Director for the BLGF Regional Offices, which shall be joined by four (4) members, namely: Local Assessment Operations Officer, Local Treasury Operations Officer, Financial Analyst, and Computer Maintenance Technologist I or its equivalent. The composition of the ICT teams can be expanded as the need arises.
- 10.2** Conduct capacity building interventions and establish guidelines for the evaluation of electronic collection system and electronic books of accounts following the prescribed

guidelines under Section 157 of the Local Treasury Operations Manual (LTOM) Book 4, the International Standard on Auditing Financials in IT environment, and pertinent issuances on IT auditing.

- 10.3** Issue the corresponding implementing guidelines as provided under Section 8 of this DO.

Section 11. Transitory Provisions. LGUs with ICT systems and OPS engagements existing on the day of the effectivity of this policy shall be given ninety (90) days from the effectivity of this DO to comply with the requirements of this policy.

Section 12. Repealing Clause. All issuances, circulars, orders, and memoranda, part, or parts of which are inconsistent with any provisions of this DO are hereby repealed or modified accordingly.

Section 13. Effectivity. This DO shall take effect immediately upon filing and submission to the Office of the National Administrative Register (ONAR) of the University of the Philippines Law Center.


RALPH G. NECTO
Secretary of Finance
JUN 10 2024

